

**Segment 1 : Introduction to the Fundamentals of
Business, Strategy and Strategic
Management**

Topic 5 : Recent Trends in Strategic Management

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5.1 Introduction

STUDY NOTE

Strategic thinking is the ability to think on a big and small scale, short or long term, into the past and for the present.

This chapter deals with the recent trends in strategic management; it starts with the concept of strategic thinking. Strategic thinking is the ability of strategic thinkers to plan for the future. It is the process of preparing strategies and ideas that help in coping with the changing environment and

also dealing with future challenges. In this topic, the concept of organizational culture and its significance to cope with emerging challenges have also been discussed.

Strategic thinking is simply an intentional and rational thought process that focuses on the analysis of critical factors and variables that will influence the long-term success of a business, a team, or an individual.

Strategic thinking includes careful and deliberate anticipation of threats and vulnerabilities to guard against and opportunities to pursue. Ultimately strategic thinking and analysis lead to a clear set of goals, plans, and new ideas required to survive and thrive in a competitive, changing environment. This sort of thinking must account for economic realities, market forces, and available resources.

Organisational culture is the belief, assumptions, values and ways of interacting which contribute to the social and psychological environment of the organisation. It is an important area which requires being mold as per the need and change in the internal and external environment. Change is constant, and to be competent and workable, an organization needs to adapt to that change. Organisational development is an effort which focuses on improving an organization's capability through strategy, structure, people, rewards and management processes. It assists the organization to adapt to change.

In this topic, the concept of change management will be discussed. Change management denotes the significance of managing human emotions and the concerns of the employees when any change against their will happens in the organisation. This brings the role of a good leader which will make all these changes possible in the organisation. Leadership is the capability of an individual or group or team to influence and guide the followers and team

members of the organisation. In this topic, strategic management in a globalized economy is also discussed.

Learning Objectives

After studying this chapter, you will be able to:

- Define the significance of strategic thinking in an organization
- Explain organizational culture and its significance in the growth
- Discuss the concept of organizational development and change
- Define the various leadership styles

5.2 Strategic Thinking

Strategic thinking is defined as the individual ability to think logically, reasonably, systematically and opportunistically in terms of attaining success. It influences the long-term success of an individual, a team or a business.

Strategic thinking includes careful and deliberate anticipation of threats and weaknesses to guard against and opportunities to follow. Ultimately, strategic thinking and analysis lead to setting new goals, strategies and ideas needed to survive and thrive in a competitive, changing environment. This type of thinking should address the realities of the economy, market forces and available resources.

Strategic thinking requires research, critical thinking, innovation, problem-solving skills, communication and leadership skills, and decision-making. The competitive environment can change quickly in any organization. New trends may emerge quickly and require the managers to use them to their advantage or lag behind. By incorporating daily thoughts into work and life activities, an organization will be able to forecast, anticipate and take advantage of opportunities.

In the course of the organization's annual strategic planning, managers are often involved in the collection, analysis and synthesis of internal and external information and ideas related to the development of their strategic plans, and the construction of a strategic narrative. The steering committee should periodically review their strategy in order to ensure that the work needs to be implemented, tested and supported in the organization.

Strategic thinking is an approach to issue identification and resolution. It is a way of thinking which utilizes creativity and intuition, with the outcome being

an integrated perspective of the organization. It contributes to general, broad and overarching concepts that focus on the future direction of an enterprise based on anticipated environmental conditions.

Strategic thinking is vital in creating a strategy which is a coherent, unifying and integrative framework for decisions, especially regarding business direction and resource utilization. Strategy is a key outcome of a relevant strategic thinking process. Strategic thinking is the combination of innovation, strategy planning and operational planning.

Strategic Thinking Competencies

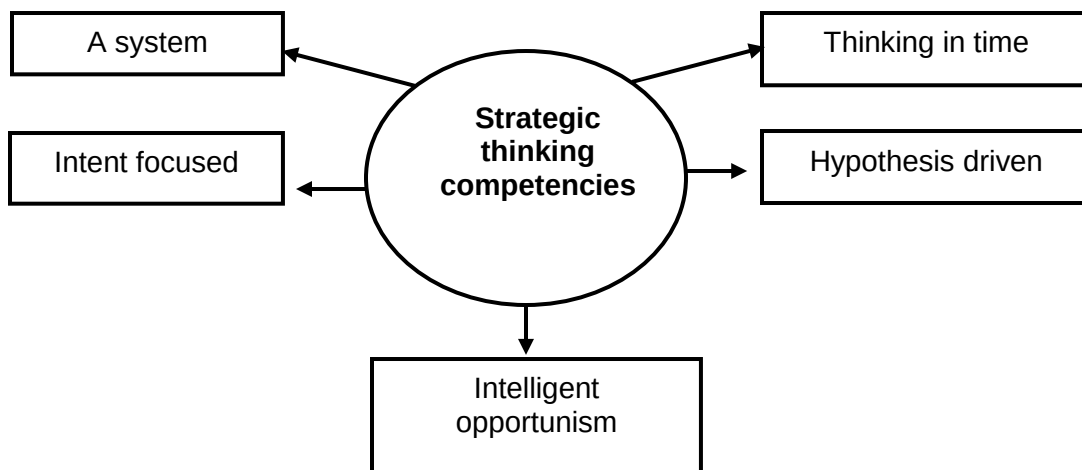


Fig 1: Strategic Thinking Competencies

- **A system perspective:** It is the ability to understand the challenges and implications of strategic actions.
- **Intent-focused:** It is the ability to focus, leverage and take advantage of all the energies with total commitment.
- **Thinking in time:** It is the ability to hold past, present and future to take better decisions.
- **Hypothesis-driven:** It is the ability to ensure that creative and critical thinking is incorporated while making the strategy.
- **Intelligent opportunism:** It is the ability of being responsive to better opportunities.

Significance of Strategic Thinking

- **Recognize opportunities:** Strategic thinking helps to recognize and take advantage of opportunities. If the managers think only about the problems the organization faces, they get less time to explore opportunities. With the help of strategic thinking, the advantage of windfall opportunities can be taken, which can result in rapid business growth.
- **Problem-solving:** Strategic thinking encourages a broader view of the organization's business model. The organization may have persistent operational problems which resist it to maximize success. So, employees are required to think critically to find out the root causes of the problems.
- **Strategy formation:** A business strategy should clearly elaborate on the role of employees in achieving the objective of the organization. A strategy needs to be formulated by analyzing precisely and critically the internal and external environment of the organization. Strategic thinking is significant in the formation of a strategy.
- **Being proactive:** When the organization simultaneously plans and addresses the present business conditions; it can choose appropriate actions for the growth of the company. For this, a properly framed strategy is required, which pertains to the role of strategic thinking.

5.3 Organisational Culture And Its Significance

Organizational culture guides how the employees in the organization act, feel and think. It is the social and psychological environment of the organization. It depicts the unique personality of the organization and expresses the core values, ethics, behaviours and beliefs of the organization. A productive organizational culture is key to developing the traits which are necessary for the success of business. It is the collection of values, expectations and practices which guide and inform the necessary actions of the employees. A great culture amplifies positive traits which lead to improved performance, whereas if the culture of the organization is dysfunctional, it will inculcate those qualities in the personnel which will hinder even the most successful organizations.

The culture of the organizations is greatly influenced by national cultures, traditions, economic trends, and the size of the organization, products and international trade. Every company develops and maintains a culture which is unique, which provides boundaries and guidelines for the behaviour of the employees of the organization.

Significance of Organizational Culture

Organizational culture is important for the growth of the individual employee as well as for the organization. A good organizational culture is needed for the following reasons:

- Organizational culture creates boundaries and premises beyond which employees are not permitted to go. Employees automatically observe the organizational norms and standards of behaviour.
- An organization is recognized by its culture, and an organization's culture provides stability because of which employees prefer to continue with the organization. Other stakeholders like customers, investors, distributors and suppliers also prefer to remain with the organization.
- The social recognition of the organizational culture makes the organization to develop and grow in all possible dimensions. It also helps in creating a positive corporate image of the organization.

STUDYNOTE

Corporate culture refers to the beliefs and behaviours which determine how the employees of the organisation and management interact.

- It acts as a motivator which guides and controls the performance of the employees. Because of this, employees become enthusiastic and encouraged to perform their respective jobs.
- A sound culture makes the attitude and behaviour of the employees directed towards the achievement of the goals.
- The implicit rules developed in a positive and concrete organizational culture make people work in the organization development oriented. These rules are much more effective as compared to explicit or written rules and instructions.

5.4 Organizational Development and Change

Organizational Development

Organizational development is the process of change in the culture of an organisation with the utilization of behavioral science technology, research and theory. It is a long-term effort to improve the problem capabilities of the organization and the ability to cope with changes in its external environment. It is the field of study which addresses change and its impact on the individual working in the organization and the organization as a whole. Effective organizational development assists the organization and its employees in coping with change. Managers develop strategies to introduce planned changes like team building efforts, by which organizational functioning can be improved.

The organizational development technique is used to cope up with the change. Every organization needs to compete and survive in the long run in which organizational development plays a vital role.

Benefits of organizational development are as follows:

- It gives more emphasis on the human element, i.e., human resources rather than any other physical resources of the organization.
- It assists in the development of human resources by initiating change.
- It provides opportunities and challenges for employees to use their skills optimally.
- It helps the organization to achieve its effectiveness.

Organizational Change

The only constant thing in the universe is change, which is depicted in our personal and professional lives. Organizational change is a modification or transformation of the structure, processes or goods and services of the industry. Organizational changes can be in its structure, operations, size of the workforce, working hours, roles carried out by employees and internal or external environment. The term change is an alteration of the work environment, and may have the following features:

- When change occurs in any one part of the organization, it can disturb the established and old equilibrium of the organization.

- Any change in the organization can affect either some part of the organization or the whole organization.
- Organizational change is a continuous process.

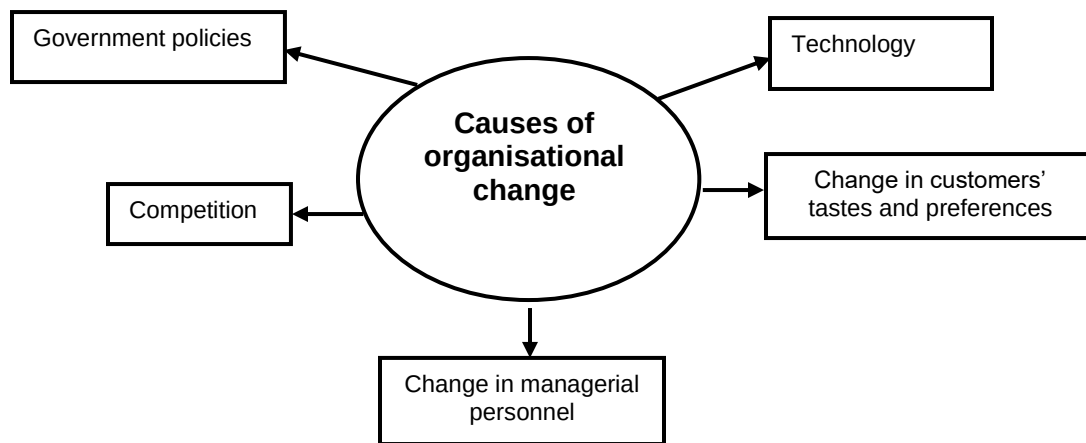


Fig 2: Causes of Organizational Change

Organizational change is the alternation which occurs in the total environment of the business. The following are the causes of organizational change:

- **Government policies:** Many a time, government policies change because of this an organization has to bring change. For example, when the government changed the existing tax policy to GST, every organization needed to adopt that.
- **Competition:** There is cut-throat competition in the market; in order to sustain itself in a market, every organization has to be competitive in nature. To survive and to gain a competitive edge, an organization has to be innovative and adapt to change as per the customers' expectations.
- **Technology:** As new innovations and new technologies are emerging day by day in this world. This is one of the major sources of change, and to survive in the changing environment, organizations need to adopt them.
- **Change in customers' tastes and preferences:** In the market, the customer is the king. Organizations need to produce the goods as per the expectations of the customer. If organizations do not change their

products and other aspects as per the expectations of the customer, then they will not survive in the market.

- **Change in managerial personnel:** Employees join and leave the organization whenever a new manager brings his or her new ideas and makes employees change according to that. This is how change occurs in the organization.

5.5 Change Management

Change management refers to the task of managing change. Management of change refers to the task of making changes in a managed and planned or systematic fashion. It is defined as the manners and methods in which an organization describes and implements change. This includes preparing the employees for the change, supporting them and taking necessary steps for the change. It is the application of a structured process and method to lead the change for the employees to achieve the respective outcome.

Change management helps the organization to adapt to the changes and thus help the organization to survive in the changing environment. With the help of change management, easy integration in the case of merger and acquisition with less effort and time is possible. It leads to efficiency and increases productivity, which leads to lower costs of operations.

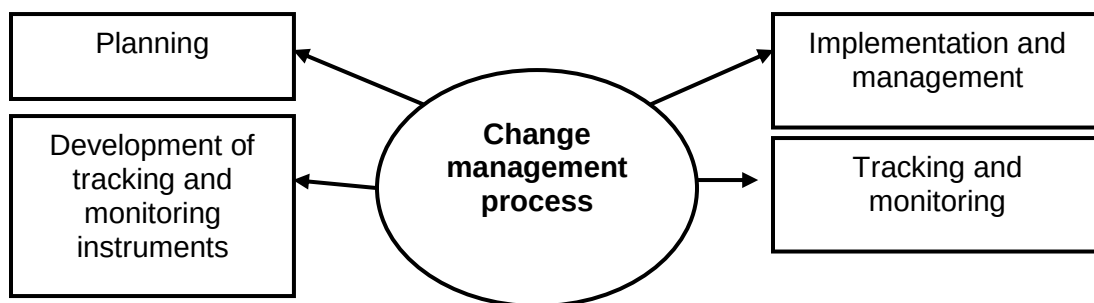


Fig 3: Change Management Process

The management of the change process involves the following stages:

- Planning:** In this stage of planning, the organization determines the need to change, develops a change management team and creates a plan of action.

- B. **Implementation and management:** In this stage, the plan of change is executed and the main task is implementing, managing and maintaining the change process so that the change is applied smoothly without hiccups.
- C. **Development of tracking and monitoring instruments:** In this stage, tracking and monitoring instruments are developed to assess the success or failure of the change, so that if any reframing is required, the necessary adjustments can be made.
- D. **Tracking and monitoring:** In this last stage, continuous tracking and monitoring are done until the organization has applied and adopted the change.

Change Management Strategies

- **Directive strategy:** This strategy involves the use of authority to apply the change. This strategy is undertaken by the top management with less involvement from other employees. The managers exercise their power and authority to manage the change. The applicability of change is very fast with the help of this strategy. However, it also comes with some disadvantages. As it does not consider the views and opinions of those employees who will be involved or be affected by the change, this can cause resentment among human resources.
- **Expert strategy:** In this approach, the management considers the change as a problem-solving process and takes the help of experts to resolve it. The experts are involved in the proper management of the change process. With the help and guidance of experts, the change can be implemented effectively and quickly.
- **Negotiation strategy:** In this strategy, the management discusses the various issues involved in the change with those people who are getting affected by the change. The top management negotiates and bargains with the employees in order to implement the change. The change, implementation methods and possible methods agreed upon are discussed with the stakeholders. The challenge here is that it takes a long period of time to implement the changes, and it is difficult to predict all the possible outcomes of the exercise.

- **Educative strategy:** This strategy is based on redefining and reinterpreting individuals' norms and values by motivating them to support the changes being made. The focus is on the employees who are involved in the change process. Many activities like education, training and selection by consultants, specialists and experts should be undertaken in order to effect change properly. This strategy takes a longer time to implement the change.
- **Participative strategy:** In this strategy, all the employees of the organizations are involved fully in the change process. Discussions and meetings are held, and the viewpoints of all individuals are considered before the implementation of change. The suggestions of experts and consultants are also sought to facilitate the change process.

5.6 Models of Leadership Styles and Its Role

Leadership is the art of motivating and encouraging a group of people to act towards the achievement of a common objective. There are various types of leadership styles, and each one of the styles is relevant depending upon the situation. The basic types of leadership styles are as follows.

- **Autocratic style:** In this leadership style, leaders take decisions without consulting their team members, even in situations where the input is important. It is appropriate in situations where the decisions are required to be made quickly, when the team input is not required or when the team's agreement is not required for a successful outcome. Though in most situations, this style could be demoralizing and it can lead to absenteeism and staff turnover.

Dictators like Kim Jong-un (having the position of Supreme Leader of North Korea) is the perfect example of autocracy and how they try to manipulate everything around them to remain in power and cement their status.

- **Democratic style:** In this leadership style, the leaders make the final decisions but they do include their team members in the decision-making process. This encourages the creativity and motivation of the employees and also boosts their job satisfaction and productivity.

- **Laissez-faire style:** In this type of leadership, the leaders give a lot of freedom to their employees in how they do their work and fulfil their responsibilities. Leaders provide support and resources to their employees and advise if needed, otherwise, they do not get involved. This autonomy for the employees can lead to high job satisfaction. However, it could be damaging if the team members do not manage their time well.
- **Affiliative style:** This approach is applicable in cases when the leaders have a very good relationship with the employees and are close with them. In this style, the leader pays complete attention and supports the emotional needs of the team members. This style encourages harmony and forms collaborative relationships with teams.
- **Bureaucratic style:** In this leadership style, everything is done in the organization according to the procedure and policy. It is effective when human resources perform routine tasks again and again. This style of leadership also helps in situations where serious safety risks are involved such as working with machinery, toxic substances, etc. However, this style is not useful in organizations which believe in practising flexibility, creativity or innovation.

Role of Leadership in an Organization

- **Initiating action:** A leader is a person who communicates the plans and policies to the subordinates so that the work can be started. The leader initiates and starts the action.
- **Provides motivation:** A leader motivates the employees by providing them with financial and non-financial incentives to get the work done efficiently from the employees.
- **Providing guidance:** A leader does not only supervise the employees but also guides the team to perform. A leader instructs the subordinates so that they can perform effectively.
- **Creating confidence:** A leader appreciates the effort of the employee and explains to them their roles and guides them to achieve their goals.
- **Building work environment:** A leader maintains a personal relationship with the employees and pays attention to their problems

and solves them. Leaders listen to their employees and create a positive and efficient work environment.

- **Induces changes:** A leader persuades and inspires the employees to accept any changes in the organization without resistance and discontentment of employees.

5.7 Strategic Management In A New Globalised Economy

Strategic management is the process of strategic decision-making which sets the long-term roadmap and direction for the organization. Competition in one country is independent of competition in other countries. The global strategy of the industry is the sum of strategies developed by subsidiaries which are operating in different countries. Global strategic management is the process of evaluating the internal and external environment by Multi-National Companies, through which they set their long-term and short-term goals, and then they implement a specific plan into action to achieve those objectives.

Strategic management in the global context is the planning process which determines the strategies and goals in an international setting. How to expand abroad or compete internationally is considered in this process.

It is an ongoing management planning process which aims at developing strategies to allow an organization to expand internationally. Strategic management is required in the global context as it helps in managing businesses internationally through strategic planning, organizing, directing and controlling.

Strategic management in the globalized set-up tries to create value by transferring valuable skills and products to international markets where local competitors lack those skills and products. Most of international firms have generated value by transferring different products developed in their home country to new overseas markets. Such organizations tend to centralize product development in the home country and establish only local manufacturing and marketing in the overseas market.

It comes with the advantage that it gives the ability to explore the opportunities available in the foreign market. It also assists in economizing global supplies. The challenge with this is a lack of local responsiveness. Many a time, organizations fail to realize location economies.

5.8 Summary

- Strategic thinking is the mental process which is applied by an individual for setting or achieving the goal of the organization.
- Organisation culture is the way to behave in the organization properly. This consists of shared beliefs and values which are established by managers and then communicated and reinforced to shape the employees' perception, behaviour and understanding.
- Organizational development is an objective-based methodology which is used to initiate and bring a change in an organization. IT is a broad range of behavioural science strategies which are used to diagnose the need for change in organizations and to implement changes.
- Change management comprises the methods and manners by which an organization describes and implements change within its internal and external processes. It helps, prepares and supports employees, teams and organizations in making and adapting to organizational change.
- Leadership is the ability of an individual or a group to influence and guide its followers or other members of the organization to do certain activities or pursue their actions.

5.9 Glossary

- **Globalization:** Globalization is the spread of technology, information, products and services across national borders and cultures.
- **Leadership:** It is a process of social influence, which can maximize the efforts of others or of followers for the growth of the organization.
- **Market forces:** These are the economic factors that affect the price, demand and availability of a commodity. It also includes the actions of buyers and sellers which cause the prices of goods and services to change.
- **Hypothesis:** A hypothesis is an idea which is being suggested as the possible explanation for something which is not yet found to be true or correct.
- **Stakeholder:** A stakeholder is any party who is interested in a company and can either affect or get affected by the business.

5.10 Case Study

The Globalisation of Philip Morris's KGFI

Outside of its core Western markets, Kraft General Foods International's (KGFI) food products have a growing presence in one of the most dynamic business environments in the world—the Asia-Pacific region. Its operations are expanding rapidly, often aided by links with local manufacturers and distributors.

Japan and Korea are important examples. In both countries, local alliances can be crucial to market entry and success. Realising this fact in the early 1970s, General Foods established joint ventures in both Japan and Korea. These joint ventures combined with KGFI stand-alone operations generate more than 1 billion dollars in revenues. In the aggregate, their combined food operations in Japan and Korea are larger than many Fortune 500 companies.

Where soluble coffee accounts for just over 25% of the coffee consumed in US homes, it fills more than 70% of the cups consumed in the homes of convenience-minded Japan. Additionally, Japan is the origin of a unique form of packaged liquid coffee and a unique distribution channel of vending machines. Japanese consumers have purchased packaged liquid coffee for years, and it amounts to a \$5 billion category. Some 2 million vending machines dispense 9 billion cans of liquid coffee annually—an average of 75 cans per person.

Japan offers a culturally unique distribution channel for coffee products—the gift-set market. Many Japanese exchanges specially packaged food or beverage assortments at least twice a year to commemorate holidays as well as special personal or business occasions. The gift-set business has helped Maxim products reinforce their quality image; it will also be a launching pad and support vehicle for Carte Noire coffee.

Outside the Ajinomoto General Foods joint venture, KGFI is developing a free-standing food business under the name of Kraft Japan. It is building a cheese business with imported Philadelphia cream cheese, the leading cream cheese in the Tokyo Metropolitan market, as well as locally manufactured and licensed Kraft Milk Farm Cheese slices. This cheese market is expected to grow by approximately 5% per year. This is a rapid growth rate for a large food category. In addition to cheese, KGFI also imports Oscar Mayer prepared meats and Jacobs Suchard chocolates.

KGFI's joint venture in Korea, Dong Suh. Foods Corporation is one of the top 10 food companies in the country. Dough Suh manufactures coffee and cereals and has its own distribution network. One of Doug Suh's other businesses in Korea, other than cereals, also holds a strong number two position, with a 42% category share.

Korea's \$400 million coffee market is the fastest-growing major coffee market in the world, expanding at an average annual rate of 14%. Growing with the market, Maxim and Maxwell soluble coffee in both traditional "agglomerate" and freeze-dried forms account for more than 70% of the country's soluble coffee sales. The strength of these brands also brings the company to a strong number one position in the coffee mix, a mixture of soluble coffee, creamer and sugar. In addition, its Frima brand leads the market in the non-dairy creamer segment.

Beyond Japan and Korea, KGFI is targeting many other countries for geographic expansion. In Indonesia, for instance, KGFI has established a rapidly growing cheese business through a licence and introduced other KGFI products. In Taiwan, the joint venture company, Premier Foods Corporation, holds a 34% share of the soluble coffee market and is aggressively developing Kraft Cheese and Jacobs Suchard import businesses. KGFI Philippines, a wholly owned subsidiary, has a leading position in the cheese and powdered soft drink market in the country. In the People's Republic of China, the company produces and markets Maxwell House coffee and Tang powdered soft drinks through two successful and rapidly growing joint ventures.

Q. Match List-I (Leadership Type) with List-II (Main Idea/Model) and select the correct answer using the code given below the lists:

List-I (Leadership Type)	List-II (Main idea/Model)
A. Participative	1. Vroom and Yetton's Normative Model
B. Contingency	2. The Managerial Grid
C. Behavioural	3. Likert's Leadership Style
D. Situational	4. Fiedler's Least Preferred Co-worker (LPC) Theory

Ans: A-3, B-4, C-2, D-1b. iii)

c. iv)

d. ii)

Answer (a)

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